



Archer Aviation

NYSE : ACHR · Young-Company DCF (Damodaran) \$5.4B mkt cap · 790M sh · \$1.78B cash, \$80M net debt · \$1.78B cash (\$0.95B + \$0.83B ST inv), low debt; ~760M basic / ~790M diluted; Pre-revenue (Q1'26 first \$1.6M); ~\$727M/yr burn, ~2.4yr runway; Anduril defense JV + \$142M USAF; ~\$6B order book (mostly LOIs)

\$6.81

THE CENTRAL QUESTION

Is Archer's ~half-Joby price enough discount to make the eVTOL-plus-defense lottery ticket positive-EV — despite being the certification follower?

Archer trades at ~\$5.4B (~\$6.81/sh) on \$0 revenue — about half Joby's cap on a near-identical certification position, with \$1.78B cash but a ~\$727M/yr burn (~2.4yr runway) and a defense wildcard (the Anduril autonomous-VTOL JV) Joby lacks. The young-company DCF asks what aircraft fleet, UAM-plus-defense revenue, and dilution are plausible over a decade. The finding: 85% of the probability sits well below spot — heavy dilution craters the bear/base outcomes — but Archer is cheap enough that the 15% cert-success-plus-defense tail (paying 4-13x) lifts the weighted expected modestly above today's price.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$8.01 expected fair value today  
+17.7% vs spot \$6.81

FORWARD COMPOUNDED VALUE

| +5y        | +10y       | +15y       | +20y       |
|------------|------------|------------|------------|
| \$11.48    | \$16.47    | \$23.64    | \$33.99    |
| 1.69x spot | 2.42x spot | 3.47x spot | 4.99x spot |

WEIGHTING RATIONALE

Ultra Bear 12% TC fails (Lilium-style); cash burns; near-total loss.

Bear 31% Cert slips; lean sub-scale operator; dilution wins.

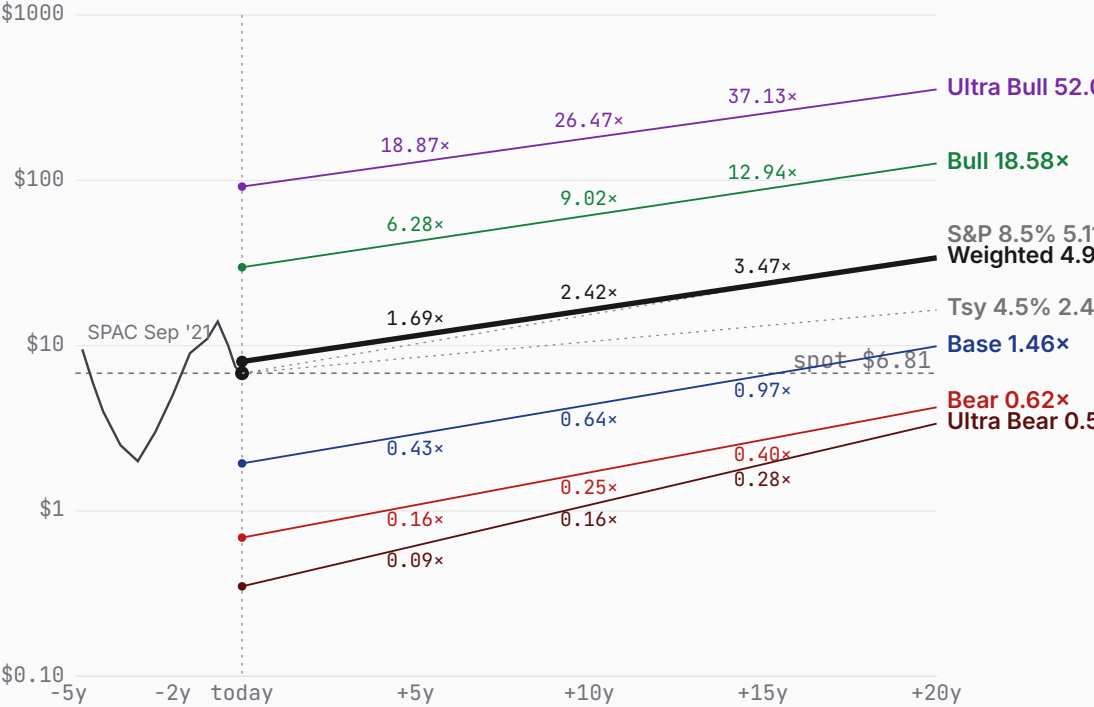
Base 42% Cert ~2027; mid-scale UAM + defense; diluted.

Bull 11% Cert + DoD program of record; ~5x spot.

Ultra Bull 4% UAM leader + major defense program; ~14x.

Bull (11%) + Ultra Bull (4%) together contribute \$6.94 — 87% of the \$8.01 expected value despite 15% combined probability. Today's spot (\$6.81) sits 15% below the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED



| ULTRA BEAR                                     | \$0.35         | BEAR                                     | \$0.69         | BASE                                     | \$1.94         | BULL                                    | \$29.79         | ULTRA BULL                             | \$91.64          |
|------------------------------------------------|----------------|------------------------------------------|----------------|------------------------------------------|----------------|-----------------------------------------|-----------------|----------------------------------------|------------------|
|                                                | -94.9% vs spot |                                          | -89.9% vs spot |                                          | -71.5% vs spot |                                         | +337.4% vs spot |                                        | +1245.7% vs spot |
| TAM 0.0% P(fail) 45%<br>S2C 0.6 Prob 12%       |                | TAM 0.5% P(fail) 35%<br>S2C 1.0 Prob 31% |                | TAM 2.2% P(fail) 18%<br>S2C 1.2 Prob 42% |                | TAM 6.4% P(fail) 8%<br>S2C 1.5 Prob 11% |                 | TAM 9.6% P(fail) 4%<br>S2C 1.7 Prob 4% |                  |
| TC fails (Lilium-style); cash burns; dilution. |                | Cert slips; lean sub-scale operator.     |                | Cert ~2027; UAM scales + defense kicker. |                | Cert + DoD program of record win.       |                 | UAM leader + major defense program.    |                  |



# Archer Aviation scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 12% Bear 31% Base 42% Bull 11% Ultra Bull 4% · Weighted expected \$8.01 (+17.7% vs spot)

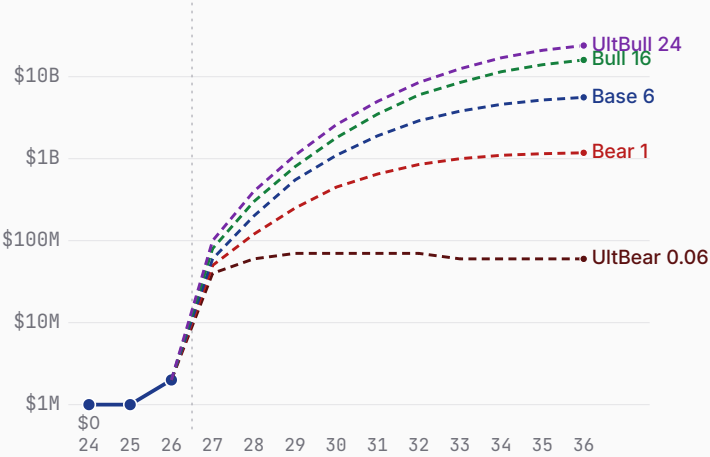
| ULTRA BEAR                                                                                                                                                                                                                                                                                                                                                                                                      | \$0.35         | BEAR                                                                                                                                                                                                                                                                                                                                  | \$0.69         | BASE                                                                                                                                                                                                                                                                                                                   | \$1.94         | BULL                                                                                                                                                                                                                                                                                                                 | \$29.79         | ULTRA BULL                                                                                                                                                                                                                                              | \$91.64          |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------|
|                                                                                                                                                                                                                                                                                                                                                                                                                 | -94.9% vs spot |                                                                                                                                                                                                                                                                                                                                       | -89.9% vs spot |                                                                                                                                                                                                                                                                                                                        | -71.5% vs spot |                                                                                                                                                                                                                                                                                                                      | +337.4% vs spot |                                                                                                                                                                                                                                                         | +1245.7% vs spot |
| Probability 12%                                                                                                                                                                                                                                                                                                                                                                                                 |                | Probability 31%                                                                                                                                                                                                                                                                                                                       |                | Probability 42%                                                                                                                                                                                                                                                                                                        |                | Probability 11%                                                                                                                                                                                                                                                                                                      |                 | Probability 4%                                                                                                                                                                                                                                          |                  |
| TC fails (Lilium-style); cash burns; dilution.                                                                                                                                                                                                                                                                                                                                                                  |                | Cert slips; lean sub-scale operator.                                                                                                                                                                                                                                                                                                  |                | Cert ~2027; UAM scales + defense kicker.                                                                                                                                                                                                                                                                               |                | Cert + DoD program of record win.                                                                                                                                                                                                                                                                                    |                 | UAM leader + major defense program.                                                                                                                                                                                                                     |                  |
| WHY 12%                                                                                                                                                                                                                                                                                                                                                                                                         |                | WHY 31%                                                                                                                                                                                                                                                                                                                               |                | WHY 42%                                                                                                                                                                                                                                                                                                                |                | WHY 11%                                                                                                                                                                                                                                                                                                              |                 | WHY 4%                                                                                                                                                                                                                                                  |                  |
| The category's base rate is unforgiving — no one holds an FAA Type Certificate yet, and Lilium (raised \$1.4B, failed) proves under-capitalization is fatal. Archer is the cert-follower with ≈2.4yr of runway; 45% within-scenario failure reflects real first-of-a-kind certification + funding risk. 12% scenario weight.                                                                                    |                | Cert slips and the business stays sub-scale; the ~\$6B order book (mostly LOIs) converts only partially. 35% failure probability — Archer is behind Joby on conforming-aircraft flight testing. 31% weight as a very plausible 'certifies but the dilution wins' outcome.                                                             |                | Requires cert on roughly schedule and a mid-scale UAM-plus-defense ramp — no category dominance. 18% failure probability given \$1.78B cash, Stellantis manufacturing, and the USAF/Anduril defense anchor. 42% weight as the central outcome.                                                                         |                | A chain: cert clears AND manufacturing ramps AND UAM scales AND the Anduril relationship becomes a DoD program of record. Each plausible at 50-70%; jointly ~11%. The defense leg is Archer's distinctive second shot at the upside.                                                                                 |                 | Tail of tails: UAM leadership AND a major multi-service defense program AND a premium platform terminal. Individually 40-60%; jointly ~4%. The asymmetric upside that the half-Joby price is really buying.                                             |                  |
| WHAT HAPPENS                                                                                                                                                                                                                                                                                                                                                                                                    |                | WHAT HAPPENS                                                                                                                                                                                                                                                                                                                          |                | WHAT HAPPENS                                                                                                                                                                                                                                                                                                           |                | WHAT HAPPENS                                                                                                                                                                                                                                                                                                         |                 | WHAT HAPPENS                                                                                                                                                                                                                                            |                  |
| Type certification defeats Archer — a flight-test setback, a transition-flight failure, or simply running out of runway (≈2.4yr of cash at the ~\$727M/yr burn) before the FAA grants a TC. Lilium's 2025 collapse proves the category kills the under-capitalized. Archer dilutes desperately at collapsing prices, then restructures; the residual is defense scraps plus whatever cash survives the attempt. |                | Archer eventually certifies but late and sub-scale; it becomes a lean niche eVTOL operator (~\$1.2B revenue by the mid-2030s at a low-teens margin) plus a modest defense line, never converting the ~\$6B order book or matching Joby's cadence. Heavy dilution (≈\$2.4B of raises at depressed prices) funds the long road to cert. |                | The modal path: Archer certifies on roughly the targeted timeline (~2027), scales the Midnight UAM network across the US and UAE, and converts part of the Anduril defense relationship into recurring revenue — ~\$5.6B combined by 2035 at a low-teens operating margin. A real, profitable transport-tech business. |                | The bull: Archer certifies, the Covington/Stellantis line ramps toward high volume, the UAM network scales across multiple metros, AND the Anduril partnership converts into a DoD program of record — ~\$16B combined revenue by 2035 at a ~28% operating margin. The defense leg is the differentiator Joby lacks. |                 | The tail: Archer becomes a US UAM leader AND lands a major multi-service defense program — the autonomous hybrid-VTOL scales into a real DoD platform — for ~\$24B combined revenue by 2035 at a ~34% operating margin and a premium platform terminal. |                  |
| With a 45% within-scenario failure probability and the share count ballooning past 1.4B on sub-\$4 raises, the expected per-share collapses toward the distress floor — a near-total loss from today's \$6.81.                                                                                                                                                                                                  |                | The DCF lands under \$1/share — the market is pricing a far larger outcome. This is the 'cert works, but the dilution math wins' world that Joby's bear shares.                                                                                                                                                                       |                | But ~\$3.4B of dilutive raises to fund the buildout balloon the share count past 1.2B, and most of the fleet's value sits beyond the 10-year window. DCF ~\$2.25/share — ~67% below spot, the dilution tax on a successful-but-capital-hungry ramp.                                                                    |                | Self-funding arrives mid-decade; dilution turns value-accretive. DCF ~\$32/share — ~5× today's price. This is the scenario the cheap entry is really buying.                                                                                                                                                         |                 | DCF ~\$95/share — ~14× spot. A genuine 'eVTOL + defense prime' outcome; each leg is individually plausible at 40-60%, jointly ~4%. The asymmetric upside that makes the cheap entry positive-EV.                                                        |                  |

Archer Aviation business snapshot

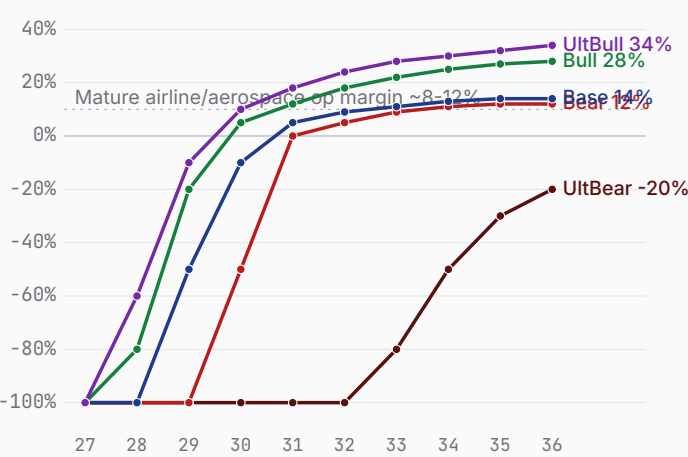
Bear \$0.69 Base \$1.94 Bull \$29.79

FY26-FY35 scenario projections (pre-revenue today) · fiscal years end Dec 31 · Q1 2026 10-Q, FY25 results

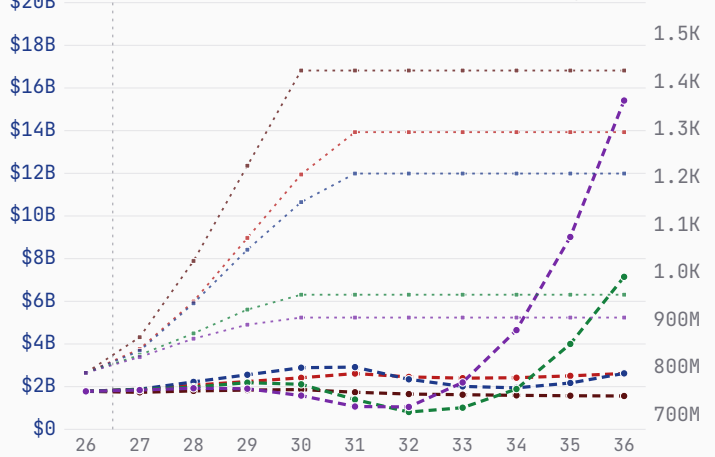
Revenue — history + scenarios to FY36 (log)



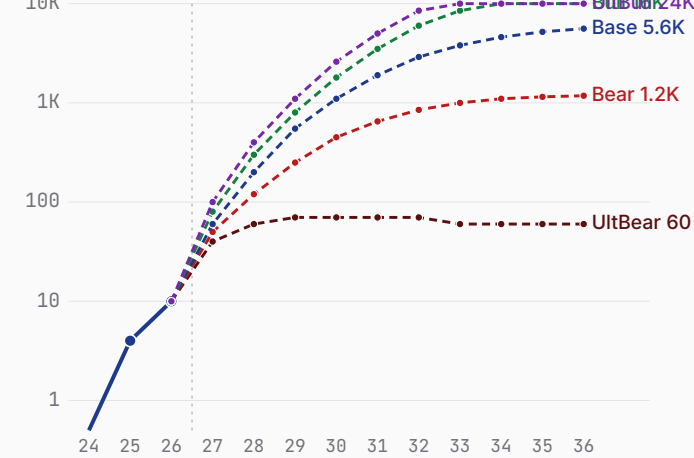
Path to profitability — op margin (FY27→FY36)



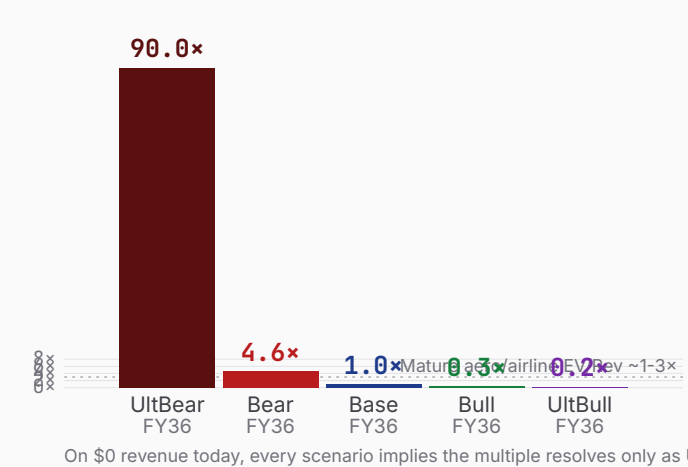
Cash + dilution (FY26 → FY36)



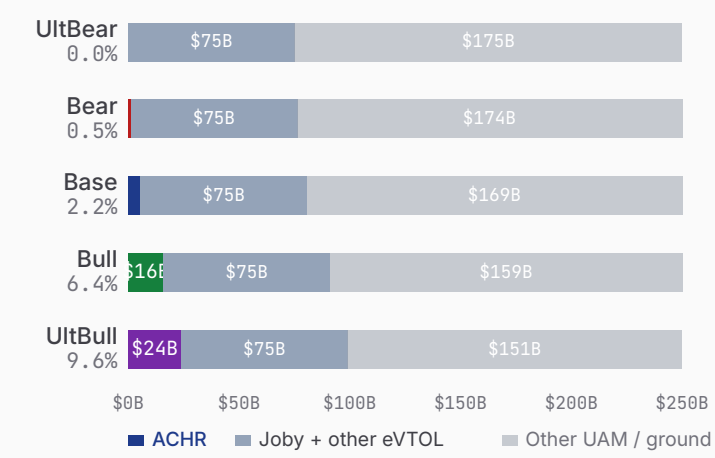
Aircraft fleet deployed (log)



\$5.40B mkt cap as P/S on FY36 rev



\$250B FY36 global UAM TAM — ACHR share (+ separate)



Sources: Archer Q1 2026 10-Q (cash+ST inv \$1.78B, net loss), FY2025 results (net loss \$618M), order-book + Anduril/USAF disclosures. Revenue modeled as UAM (passenger) + defense; FCF is NOL-shielded pre-tax over the explicit window (documented simplification). TAM: \$250B FY36 global UAM (matches the Joby memo) plus a separate defense leg.

Archer Aviation 7 Powers · the moat, scored

Bear \$0.69 Base \$1.94 Bull \$29.79

**Arena.** Electric vertical-takeoff air mobility (eVTOL) + defense VTOL — Archer (Midnight UAM 'airline' + Anduril defense) vs Joby (cert + cash leader), Beta, Vertical, EHang (China), Wisk/Boeing (autonomy); the race to originate the first certified, scaled UAM + dual-use position.

**POWER ORIENTATION**  
origination window: open

POWER ORIENTATION · 7 POWERS

|                                       |                                                                                                                        |
|---------------------------------------|------------------------------------------------------------------------------------------------------------------------|
| Scale Economies                       | The Covington/Stellantis line targets high volume, but it's pre-cert and unproven at rate.                             |
| Network Economies                     | A vertiport/route-network flywheel is future, not yet originated.                                                      |
| Counter-Positioning                   | Archer's defense dual-use (Anduril) is a position Joby and pure-UAM peers can't easily mirror.                         |
| Switching Costs                       | Airline/operator + defense-program lock-in is real once contracted, but contracts are early/conditional.               |
| Branding                              | A leading eVTOL brand (United, Stellantis, Anduril, UAE); strong but unproven on delivery.                             |
| Cornered Resource · thesis leans here | An FAA TC (once granted) is the first-mover regulatory moat; Archer is a close #2 with manufacturing + defense assets. |
| Process Power                         | No certified aircraft yet; the manufacturing learning curve is ahead, not demonstrated.                                |

THE RACE · NAMED RIVALS

|                                                                                                                                     |                      |
|-------------------------------------------------------------------------------------------------------------------------------------|----------------------|
| Joby Aviation                                                                                                                       | Toyota; ~\$2.5B cash |
| ~20% terminal share · Cert + cash leader (Toyota ~\$894M, ~\$2.5B cash, Dubai 6yr exclusive); flew FAA-conforming aircraft for TIA. |                      |
| Beta Technologies                                                                                                                   | >\$1B; QIA, GE       |
| ~12% terminal share · eCTOL flying/delivering; eVTOL behind; strong balance sheet (Nov'25 IPO ~\$7.4B); cargo + military.           |                      |
| Vertical Aerospace                                                                                                                  | ~\$180M; Mudrick     |
| ~6% terminal share · VX4; targets cert end-2026; chronically thin balance sheet.                                                    |                      |
| EHang                                                                                                                               | China; ~\$97M        |
| ~10% terminal share · EH216-S autonomous; CERTIFIED in China (tourism) — but jurisdiction-bound.                                    |                      |
| Wisk (Boeing)                                                                                                                       | Boeing \$450M+       |
| ~10% terminal share · Autonomous (no pilot) Gen 6; harder/longer cert, later EIS; Boeing-funded.                                    |                      |

LEAD / LAG · FALSIFIERS

|                         |                                                                          |         |
|-------------------------|--------------------------------------------------------------------------|---------|
| FAA certification stage | closed 'Phase 3'; for-credit testing vs Joby (TIA, conforming a/c flown) | LAGGING |
| Defense / dual-use      | Anduril JV + \$142M USAF vs Joby (limited DoD)                           | LEADING |
| Liquidity / runway      | \$1.78B (~2.4yr) vs Joby ~\$2.5B                                         | LAGGING |

COMPETITIVE READ

Archer is originating a credible #2 eVTOL position plus a distinctive defense dual-use leg (Anduril) that Joby lacks — at roughly half Joby's market cap. But it lags Joby on the one Power that matters first (FAA certification — Joby has flown conforming aircraft for TIA; Archer hasn't), and on cash/runway; the category just killed the under-capitalized Lilium. The window is open as the close #2 with a defense call option, but certification and the ~\$727M/yr burn are the falsifiers the whole bull case must clear.

Archer Aviation show your work

Bear \$0.69 Base \$1.94 Bull \$29.79 · Weighted \$8.01 (+17.7%)

| ULTRA BEAR                                |        |        |        |        | \$0.35                                    |                                    |        |        |        | BEAR                                      |          |                                    |        |        | \$0.69                                    |         |         |                                   |        | BASE                                      |          |          |          |                                   | \$1.94                                    |          |          |          |          | BULL                                      |          |          |          |        | \$29.79                                   |                          |  |  |  | ULTRA BULL                                |         |  |  |  | \$91.64           |  |  |  |  |
|-------------------------------------------|--------|--------|--------|--------|-------------------------------------------|------------------------------------|--------|--------|--------|-------------------------------------------|----------|------------------------------------|--------|--------|-------------------------------------------|---------|---------|-----------------------------------|--------|-------------------------------------------|----------|----------|----------|-----------------------------------|-------------------------------------------|----------|----------|----------|----------|-------------------------------------------|----------|----------|----------|--------|-------------------------------------------|--------------------------|--|--|--|-------------------------------------------|---------|--|--|--|-------------------|--|--|--|--|
| ASSUMPTIONS                               |        |        |        |        | ASSUMPTIONS                               |                                    |        |        |        | ASSUMPTIONS                               |          |                                    |        |        | ASSUMPTIONS                               |         |         |                                   |        | ASSUMPTIONS                               |          |          |          |                                   | ASSUMPTIONS                               |          |          |          |          | ASSUMPTIONS                               |          |          |          |        | ASSUMPTIONS                               |                          |  |  |  | ASSUMPTIONS                               |         |  |  |  | ASSUMPTIONS       |  |  |  |  |
| TAM Year-10 (\$B)                         |        |        |        |        | 250                                       | TAM Year-10 (\$B)                  |        |        |        |                                           | 250      | TAM Year-10 (\$B)                  |        |        |                                           |         | 250     | TAM Year-10 (\$B)                 |        |                                           |          |          | 250      | TAM Year-10 (\$B)                 |                                           |          |          |          | 250      | TAM Year-10 (\$B)                         |          |          |          |        | 250                                       | TAM Year-10 (\$B)        |  |  |  |                                           | 250     |  |  |  |                   |  |  |  |  |
| Mature share (%)                          |        |        |        |        | 0.0                                       | Mature share (%)                   |        |        |        |                                           | 0.5      | Mature share (%)                   |        |        |                                           |         | 2.2     | Mature share (%)                  |        |                                           |          |          | 6.4      | Mature share (%)                  |                                           |          |          |          | 9.6      | Mature share (%)                          |          |          |          |        | 9.6                                       | Mature share (%)         |  |  |  |                                           | 9.6     |  |  |  |                   |  |  |  |  |
| Mature op margin (%)                      |        |        |        |        | -20                                       | Mature op margin (%)               |        |        |        |                                           | 12       | Mature op margin (%)               |        |        |                                           |         | 14      | Mature op margin (%)              |        |                                           |          |          | 28       | Mature op margin (%)              |                                           |          |          |          | 34       | Mature op margin (%)                      |          |          |          |        | 34                                        | Mature op margin (%)     |  |  |  |                                           | 34      |  |  |  |                   |  |  |  |  |
| Sales-to-capital                          |        |        |        |        | 0.6                                       | Sales-to-capital                   |        |        |        |                                           | 1.0      | Sales-to-capital                   |        |        |                                           |         | 1.2     | Sales-to-capital                  |        |                                           |          |          | 1.5      | Sales-to-capital                  |                                           |          |          |          | 1.7      | Sales-to-capital                          |          |          |          |        | 1.7                                       | Sales-to-capital         |  |  |  |                                           | 1.7     |  |  |  |                   |  |  |  |  |
| Terminal WACC (%)                         |        |        |        |        | 12.0                                      | Terminal WACC (%)                  |        |        |        |                                           | 9.5      | Terminal WACC (%)                  |        |        |                                           |         | 8.5     | Terminal WACC (%)                 |        |                                           |          |          | 7.5      | Terminal WACC (%)                 |                                           |          |          |          | 7.0      | Terminal WACC (%)                         |          |          |          |        | 7.0                                       | Terminal WACC (%)        |  |  |  |                                           | 7.0     |  |  |  |                   |  |  |  |  |
| Terminal growth (%)                       |        |        |        |        | 2.0                                       | Terminal growth (%)                |        |        |        |                                           | 2.0      | Terminal growth (%)                |        |        |                                           |         | 2.5     | Terminal growth (%)               |        |                                           |          |          | 3.0      | Terminal growth (%)               |                                           |          |          |          | 3.5      | Terminal growth (%)                       |          |          |          |        | 3.5                                       | Terminal growth (%)      |  |  |  |                                           | 3.5     |  |  |  |                   |  |  |  |  |
| P(failure) (%)                            |        |        |        |        | 45                                        | P(failure) (%)                     |        |        |        |                                           | 35       | P(failure) (%)                     |        |        |                                           |         | 18      | P(failure) (%)                    |        |                                           |          |          | 8        | P(failure) (%)                    |                                           |          |          |          | 4        | P(failure) (%)                            |          |          |          |        | 4                                         | P(failure) (%)           |  |  |  |                                           | 4       |  |  |  |                   |  |  |  |  |
| Scenario probability (%)                  |        |        |        |        | 12                                        | Scenario probability (%)           |        |        |        |                                           | 31       | Scenario probability (%)           |        |        |                                           |         | 42      | Scenario probability (%)          |        |                                           |          |          | 11       | Scenario probability (%)          |                                           |          |          |          | 4        | Scenario probability (%)                  |          |          |          |        | 4                                         | Scenario probability (%) |  |  |  |                                           | 4       |  |  |  |                   |  |  |  |  |
| 10-YEAR DCF · \$B                         |        |        |        |        | 10-YEAR DCF · \$B                         |                                    |        |        |        | 10-YEAR DCF · \$B                         |          |                                    |        |        | 10-YEAR DCF · \$B                         |         |         |                                   |        | 10-YEAR DCF · \$B                         |          |          |          |                                   | 10-YEAR DCF · \$B                         |          |          |          |          | 10-YEAR DCF · \$B                         |          |          |          |        | 10-YEAR DCF · \$B                         |                          |  |  |  | 10-YEAR DCF · \$B                         |         |  |  |  | 10-YEAR DCF · \$B |  |  |  |  |
| FY                                        | Rev    | Margin | FCF    | PV FCF | FY                                        | Rev                                | Margin | FCF    | PV FCF | FY                                        | Rev      | Margin                             | FCF    | PV FCF | FY                                        | Rev     | Margin  | FCF                               | PV FCF | FY                                        | Rev      | Margin   | FCF      | PV FCF                            | FY                                        | Rev      | Margin   | FCF      | PV FCF   | FY                                        | Rev      | Margin   | FCF      | PV FCF |                                           |                          |  |  |  |                                           |         |  |  |  |                   |  |  |  |  |
| FY27                                      | 0.04   | -700%  | -0.35  | -0.30  | FY27                                      | 0.05                               | -300%  | -0.20  | -0.17  | FY27                                      | 0.06     | -250%                              | -0.20  | -0.18  | FY27                                      | 0.08    | -200%   | -0.21                             | -0.19  | FY27                                      | 0.10     | -180%    | -0.24    | -0.21                             | FY27                                      | 0.10     | -180%    | -0.24    | -0.21    | FY27                                      | 0.10     | -180%    | -0.24    | -0.21  |                                           |                          |  |  |  |                                           |         |  |  |  |                   |  |  |  |  |
| FY28                                      | 0.06   | -500%  | -0.33  | -0.25  | FY28                                      | 0.12                               | -200%  | -0.31  | -0.24  | FY28                                      | 0.20     | -120%                              | -0.36  | -0.28  | FY28                                      | 0.30    | -80%    | -0.39                             | -0.31  | FY28                                      | 0.40     | -60%     | -0.42    | -0.34                             | FY28                                      | 0.40     | -60%     | -0.42    | -0.34    | FY28                                      | 0.40     | -60%     | -0.42    | -0.34  |                                           |                          |  |  |  |                                           |         |  |  |  |                   |  |  |  |  |
| FY29                                      | 0.07   | -350%  | -0.26  | -0.17  | FY29                                      | 0.25                               | -120%  | -0.43  | -0.29  | FY29                                      | 0.55     | -50%                               | -0.57  | -0.40  | FY29                                      | 0.80    | -20%    | -0.49                             | -0.36  | FY29                                      | 1.10     | -10%     | -0.52    | -0.39                             | FY29                                      | 1.10     | -10%     | -0.52    | -0.39    | FY29                                      | 1.10     | -10%     | -0.52    | -0.39  |                                           |                          |  |  |  |                                           |         |  |  |  |                   |  |  |  |  |
| FY30                                      | 0.07   | -250%  | -0.17  | -0.10  | FY30                                      | 0.45                               | -50%   | -0.42  | -0.26  | FY30                                      | 1.10     | -10%                               | -0.57  | -0.36  | FY30                                      | 1.80    | +5%     | -0.58                             | -0.38  | FY30                                      | 2.60     | +10%     | -0.62    | -0.42                             | FY30                                      | 2.60     | +10%     | -0.62    | -0.42    | FY30                                      | 2.60     | +10%     | -0.62    | -0.42  |                                           |                          |  |  |  |                                           |         |  |  |  |                   |  |  |  |  |
| FY31                                      | 0.07   | -180%  | -0.13  | -0.06  | FY31                                      | 0.65                               | +0%    | -0.20  | -0.11  | FY31                                      | 1.90     | +5%                                | -0.57  | -0.33  | FY31                                      | 3.50    | +12%    | -0.71                             | -0.42  | FY31                                      | 5.00     | +18%     | -0.51    | -0.32                             | FY31                                      | 5.00     | +18%     | -0.51    | -0.32    | FY31                                      | 5.00     | +18%     | -0.51    | -0.32  |                                           |                          |  |  |  |                                           |         |  |  |  |                   |  |  |  |  |
| FY32                                      | 0.07   | -120%  | -0.08  | -0.04  | FY32                                      | 0.85                               | +5%    | -0.16  | -0.08  | FY32                                      | 2.90     | +9%                                | -0.57  | -0.29  | FY32                                      | 6.00    | +18%    | -0.59                             | -0.32  | FY32                                      | 8.50     | +24%     | -0.02    | -0.01                             | FY32                                      | 8.50     | +24%     | -0.02    | -0.01    | FY32                                      | 8.50     | +24%     | -0.02    | -0.01  |                                           |                          |  |  |  |                                           |         |  |  |  |                   |  |  |  |  |
| FY33                                      | 0.06   | -80%   | -0.03  | -0.01  | FY33                                      | 1.00                               | +9%    | -0.06  | -0.03  | FY33                                      | 3.80     | +11%                               | -0.33  | -0.15  | FY33                                      | 8.50    | +22%    | +0.20                             | +0.10  | FY33                                      | 12.50    | +28%     | +1.15    | +0.60                             | FY33                                      | 12.50    | +28%     | +1.15    | +0.60    | FY33                                      | 12.50    | +28%     | +1.15    | +0.60  |                                           |                          |  |  |  |                                           |         |  |  |  |                   |  |  |  |  |
| FY34                                      | 0.06   | -50%   | -0.03  | -0.01  | FY34                                      | 1.10                               | +11%   | +0.02  | +0.01  | FY34                                      | 4.60     | +13%                               | -0.07  | -0.03  | FY34                                      | 11.50   | +25%    | +0.88                             | +0.40  | FY34                                      | 17.00    | +30%     | +2.45    | +1.19                             | FY34                                      | 17.00    | +30%     | +2.45    | +1.19    | FY34                                      | 17.00    | +30%     | +2.45    | +1.19  |                                           |                          |  |  |  |                                           |         |  |  |  |                   |  |  |  |  |
| FY35                                      | 0.06   | -30%   | -0.02  | -0.01  | FY35                                      | 1.15                               | +12%   | +0.09  | +0.03  | FY35                                      | 5.20     | +14%                               | +0.23  | +0.09  | FY35                                      | 14.00   | +27%    | +2.11                             | +0.90  | FY35                                      | 21.00    | +32%     | +4.37    | +1.98                             | FY35                                      | 21.00    | +32%     | +4.37    | +1.98    | FY35                                      | 21.00    | +32%     | +4.37    | +1.98  |                                           |                          |  |  |  |                                           |         |  |  |  |                   |  |  |  |  |
| FY36                                      | 0.06   | -20%   | -0.01  | -0.00  | FY36                                      | 1.18                               | +12%   | +0.11  | +0.04  | FY36                                      | 5.60     | +14%                               | +0.45  | +0.16  | FY36                                      | 16.00   | +28%    | +3.15                             | +1.24  | FY36                                      | 24.00    | +34%     | +6.39    | +2.70                             | FY36                                      | 24.00    | +34%     | +6.39    | +2.70    | FY36                                      | 24.00    | +34%     | +6.39    | +2.70  |                                           |                          |  |  |  |                                           |         |  |  |  |                   |  |  |  |  |
| Σ PV explicit FCF                         |        |        |        |        | -0.94                                     | Σ PV explicit FCF                  |        |        |        |                                           | -1.10    | Σ PV explicit FCF                  |        |        |                                           |         | -1.76   | Σ PV explicit FCF                 |        |                                           |          |          | +0.67    | Σ PV explicit FCF                 |                                           |          |          |          | +4.79    | Σ PV explicit FCF                         |          |          |          |        | +4.79                                     |                          |  |  |  |                                           |         |  |  |  |                   |  |  |  |  |
| + PV terminal (g 2.0%)                    |        |        |        |        | -0.03                                     | + PV terminal (g 2.0%)             |        |        |        |                                           | 0.50     | + PV terminal (g 2.5%)             |        |        |                                           |         | 2.78    | + PV terminal (g 3.0%)            |        |                                           |          |          | 28.43    | + PV terminal (g 3.5%)            |                                           |          |          |          | 79.94    | + PV terminal (g 3.5%)                    |          |          |          |        | 79.94                                     |                          |  |  |  |                                           |         |  |  |  |                   |  |  |  |  |
| EQUITY BUILD · \$B & PER SHARE            |        |        |        |        | EQUITY BUILD · \$B & PER SHARE            |                                    |        |        |        | EQUITY BUILD · \$B & PER SHARE            |          |                                    |        |        | EQUITY BUILD · \$B & PER SHARE            |         |         |                                   |        | EQUITY BUILD · \$B & PER SHARE            |          |          |          |                                   | EQUITY BUILD · \$B & PER SHARE            |          |          |          |          | EQUITY BUILD · \$B & PER SHARE            |          |          |          |        | EQUITY BUILD · \$B & PER SHARE            |                          |  |  |  | EQUITY BUILD · \$B & PER SHARE            |         |  |  |  |                   |  |  |  |  |
| Operating EV                              |        |        |        |        | \$-0.97B                                  | Operating EV                       |        |        |        |                                           | \$-0.60B | Operating EV                       |        |        |                                           |         | \$1.02B | Operating EV                      |        |                                           |          |          | \$29.10B | Operating EV                      |                                           |          |          |          | \$84.73B | Operating EV                              |          |          |          |        | \$84.73B                                  |                          |  |  |  |                                           |         |  |  |  |                   |  |  |  |  |
| + Cash & investments                      |        |        |        |        | \$1.78B                                   | + Cash & investments               |        |        |        |                                           | \$1.78B  | + Cash & investments               |        |        |                                           |         | \$1.78B | + Cash & investments              |        |                                           |          |          | \$1.78B  | + Cash & investments              |                                           |          |          |          | \$1.78B  | + Cash & investments                      |          |          |          |        | \$1.78B                                   | + Cash & investments     |  |  |  |                                           | \$1.78B |  |  |  |                   |  |  |  |  |
| = Equity value                            |        |        |        |        | \$0.73B                                   | = Equity value                     |        |        |        |                                           | \$1.10B  | = Equity value                     |        |        |                                           |         | \$2.72B | = Equity value                    |        |                                           |          |          | \$30.80B | = Equity value                    |                                           |          |          |          | \$86.43B | = Equity value                            |          |          |          |        | \$86.43B                                  |                          |  |  |  |                                           |         |  |  |  |                   |  |  |  |  |
| Raised over period                        |        |        |        |        | \$1.20B                                   | Raised over period                 |        |        |        |                                           | \$2.40B  | Raised over period                 |        |        |                                           |         | \$3.40B | Raised over period                |        |                                           |          |          | \$2.00B  | Raised over period                |                                           |          |          |          | \$1.60B  | Raised over period                        |          |          |          |        | \$1.60B                                   |                          |  |  |  |                                           |         |  |  |  |                   |  |  |  |  |
| Dilution by FY36                          |        |        |        |        | +80%                                      | Dilution by FY36                   |        |        |        |                                           | +64%     | Dilution by FY36                   |        |        |                                           |         | +53%    | Dilution by FY36                  |        |                                           |          |          | +21%     | Dilution by FY36                  |                                           |          |          |          | +15%     | Dilution by FY36                          |          |          |          |        | +15%                                      |                          |  |  |  |                                           |         |  |  |  |                   |  |  |  |  |
| FY36 shares (M)                           |        |        |        |        | 1,425                                     | FY36 shares (M)                    |        |        |        |                                           | 1,296    | FY36 shares (M)                    |        |        |                                           |         | 1,209   | FY36 shares (M)                   |        |                                           |          |          | 954      | FY36 shares (M)                   |                                           |          |          |          | 906      | FY36 shares (M)                           |          |          |          |        | 906                                       |                          |  |  |  |                                           |         |  |  |  |                   |  |  |  |  |
| DCF per share                             |        |        |        |        | \$0.51                                    | DCF per share                      |        |        |        |                                           | \$0.85   | DCF per share                      |        |        |                                           |         | \$2.25  | DCF per share                     |        |                                           |          |          | \$32.29  | DCF per share                     |                                           |          |          |          | \$95.40  | DCF per share                             |          |          |          |        | \$95.40                                   |                          |  |  |  |                                           |         |  |  |  |                   |  |  |  |  |
| × (1-P_fail) [55%]                        |        |        |        |        | \$0.28                                    | × (1-P_fail) [65%]                 |        |        |        |                                           | \$0.55   | × (1-P_fail) [82%]                 |        |        |                                           |         | \$1.85  | × (1-P_fail) [92%]                |        |                                           |          |          | \$29.71  | × (1-P_fail) [96%]                |                                           |          |          |          | \$91.58  | × (1-P_fail) [96%]                        |          |          |          |        | \$91.58                                   |                          |  |  |  |                                           |         |  |  |  |                   |  |  |  |  |
| + P_fail × distress [45% × \$0.15]        |        |        |        |        | \$0.07                                    | + P_fail × distress [35% × \$0.40] |        |        |        |                                           | \$0.14   | + P_fail × distress [18% × \$0.50] |        |        |                                           |         | \$0.09  | + P_fail × distress [8% × \$1.00] |        |                                           |          |          | \$0.08   | + P_fail × distress [4% × \$1.50] |                                           |          |          |          | \$0.06   | + P_fail × distress [4% × \$1.50]         |          |          |          |        | \$0.06                                    |                          |  |  |  |                                           |         |  |  |  |                   |  |  |  |  |
| = Expected per share                      |        |        |        |        | \$0.35                                    | = Expected per share               |        |        |        |                                           | \$0.69   | = Expected per share               |        |        |                                           |         | \$1.94  | = Expected per share              |        |                                           |          |          | \$29.79  | = Expected per share              |                                           |          |          |          | \$91.64  | = Expected per share                      |          |          |          |        | \$91.64                                   |                          |  |  |  |                                           |         |  |  |  |                   |  |  |  |  |
| FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |        |        |        |        | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |                                    |        |        |        | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |          |                                    |        |        | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |         |         |                                   |        | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |          |          |          |                                   | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |          |          |          |          | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |          |          |          |        | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |                          |  |  |  | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |         |  |  |  |                   |  |  |  |  |
| +5y                                       | +10y   | +15y   | +20y   |        | +5y                                       | +10y                               | +15y   | +20y   |        | +5y                                       | +10y     | +15y                               | +20y   |        | +5y                                       | +10y    | +15y    | +20y                              |        | +5y                                       | +10y     | +15y     | +20y     |                                   | +5y                                       | +10y     | +15y     | +20y     |          | +5y                                       | +10y     | +15y     | +20y     |        |                                           |                          |  |  |  |                                           |         |  |  |  |                   |  |  |  |  |
| \$0.62                                    | \$1.09 | \$1.92 | \$3.38 |        | \$1.09                                    | \$1.71                             | \$2.69 | \$4.24 |        | \$2.92                                    | \$4.39   | \$6.60                             | \$9.92 |        | \$42.77                                   | \$61.40 | \$88.14 | \$126.54                          |        | \$128.53                                  | \$180.27 | \$252.84 | \$354.62 |                                   | \$128.53                                  | \$180.27 | \$252.84 | \$354.62 |          | \$128.53                                  | \$180.27 | \$252.84 | \$354.62 |        |                                           |                          |  |  |  |                                           |         |  |  |  |                   |  |  |  |  |
| 0.09×                                     | 0.16×  | 0.28×  | 0.50×  |        | 0.16×                                     | 0.25×                              | 0.40×  | 0.62×  |        | 0.43×                                     | 0.64×    | 0.97×                              | 1.46×  |        | 6.28×                                     | 9.02×   | 12.94×  | 18.58×                            |        | 18.87×                                    | 26.47×   | 37.13×   | 52.07×   |                                   | 18.87×                                    | 26.47×   | 37.13×   | 52.07×   |          | 18.87×                                    | 26.47×   | 37.13×   | 52.07×   |        |                                           |                          |  |  |  |                                           |         |  |  |  |                   |  |  |  |  |

Archer Aviation supporting analysis · disclaimers · glossary

Bear \$0.69 Base \$1.94 Bull \$29.79

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1

**Half of Joby's price, similar cert position.**  
~\$5.4B cap vs Joby's ~\$11B on a near-identical TC stage — the cheaper entry is the whole thesis.
- 2

**Defense optionality Joby lacks.**  
Anduril autonomous-VTOL JV + \$142M USAF AFWERX + EDGE/Omen powertrain — a second revenue leg and a DoD-program-of-record call option.
- 3

**Stellantis as contract manufacturer.**  
Automotive mass-production discipline behind the Covington line; the manufacturing partner is hands-on, not just strategic.
- 4

**\$1.78B cash, low debt.**  
Funds the next phase; the constraint is burn (~\$727M/yr), not insolvency today.
- 5

**First to close FAA 'Phase 3'.**  
Real certification progress; the gap to Joby is conforming-aircraft flight testing, not paperwork.

FALSIFICATION TRIGGERS

|                                                                                                                                                                |                                                                                                                  |                                                                                                                                                      |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Bull validation</b><br>FAA Type Certificate (2026-27) · Anduril → DoD program of record · UAE/US commercial ops generating revenue · Covington line at rate | <b>Bear validation</b><br>TC slips beyond 2027 · order book stays LOIs · burn forces dilutive raises < \$5/share | <b>Reframe needed</b><br>if a major DoD program of record is awarded, the defense leg re-rates independently of UAM — revisit the bull/ultra weights |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------|

DISCLAIMERS · PLEASE READ BEFORE USING THIS DOCUMENT

|                                                                                                                                                                                                                                                                                                                                                                                                                 |                                                                                                                                                                                                                                                                                                                                         |                                                                                                                                                                                                                                                                                                                                                                                             |
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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

|                                                                                                                           |                                                                                                                                 |                                                                                                                                                 |
|---------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Midnight</b> — Archer's 4-passenger + pilot eVTOL, ~100-mile range, 12 tilt-rotors; targets short city hops.           | <b>Type Certification (TC)</b> — The FAA's airworthiness approval; no eVTOL has one yet — the gating risk for the whole sector. | <b>Anduril JV</b> — Archer's partnership to build an autonomous hybrid-VTOL for a potential DoD program of record — the defense leg Joby lacks. |
| <b>Launch Edition</b> — Archer's direct-operations model in international markets (UAE, etc.) ahead of US commercial UAM. | <b>Sales-to-capital (s2c)</b> — Damodaran reinvestment efficiency — incremental revenue per dollar of reinvested capital.       |                                                                                                                                                 |